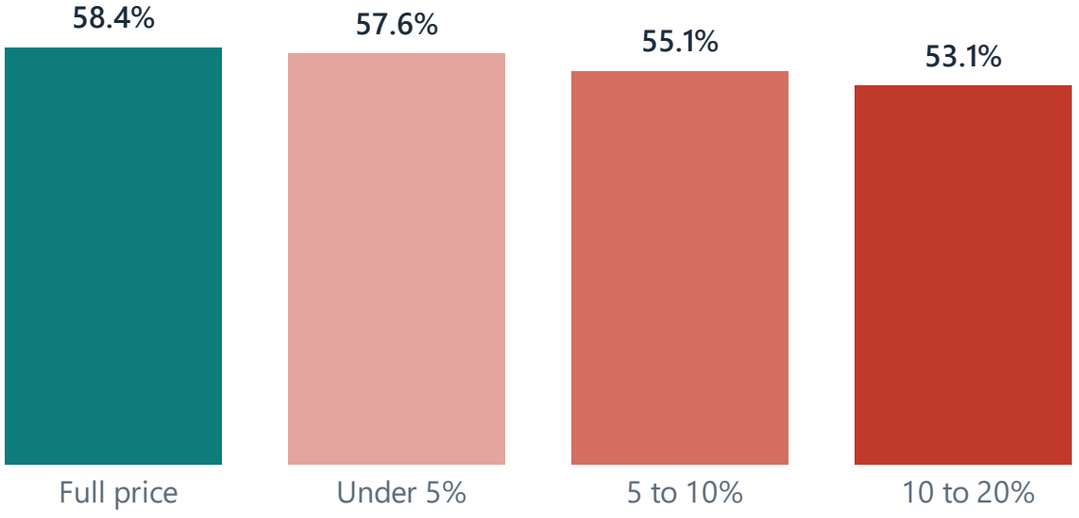
What do the discounts cost, and do they pay for themselves?

Sample audit on the Contoso Retail dataset (synthetic data), 223,974 order lines, 2016 to 2025

DISCOUNTS GIVEN AWAY	SHARE OF REVENUE	SHARE OF PROFIT	ORDER LINES DISCOUNTED
$13.8M	6.3%	11.3%	61.1%

Blended margin falls with discount depth (profit / revenue)



DISCOUNTED SALES THE DISCOUNT MUST WIN

1 in 6

If removing the discounts would lose more than this share of discounted sales, they pay for themselves. If it would lose fewer, they cost more than they earn.

PROFIT ON DISCOUNTED SALES TODAY	SAME SALES, NO DISCOUNT, NONE LOST
$69.7M	$83.4M

What this means

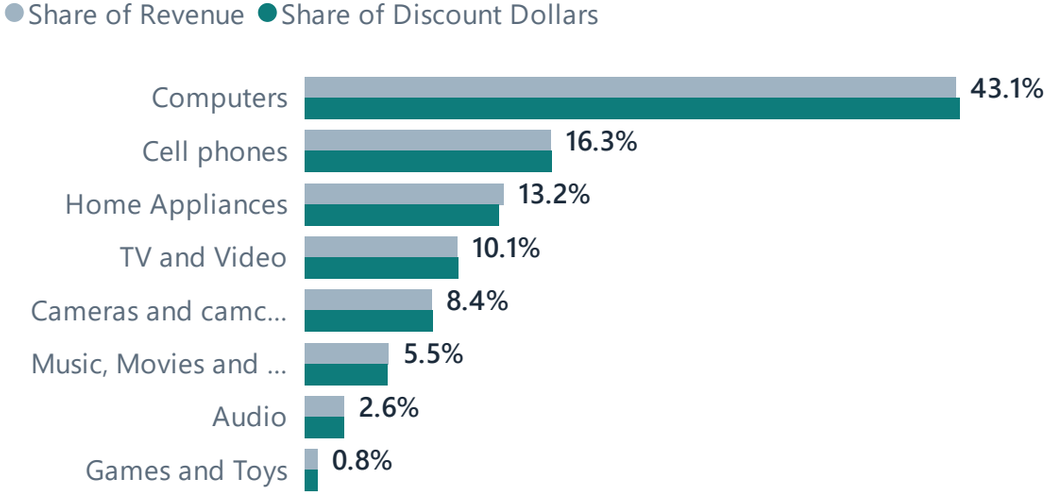
The data has no demand or before-and-after information, so it cannot say whether the discounts win enough extra sales. Next step: a controlled test of a lower discount cap on the 10 to 20% tier, with the break-even above as the pass mark.

Break-even assumes a lost sale loses all its profit and ignores repeat purchases, returns and overhead.

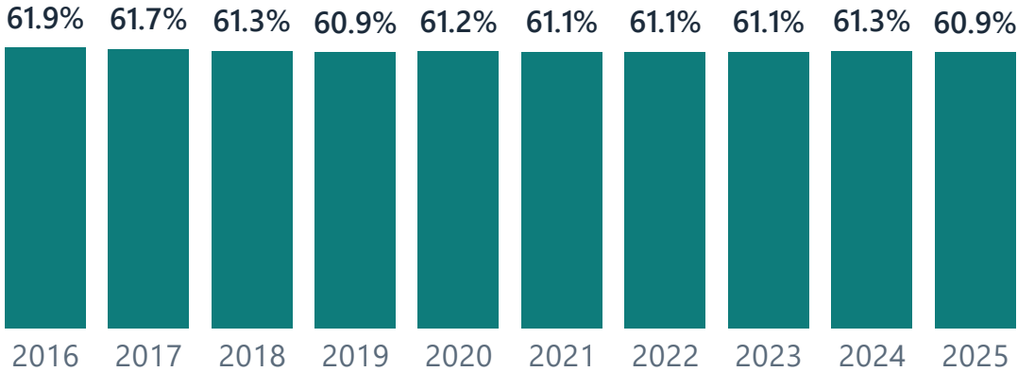
Discounting looks like a habit, not a decision

The same share of sales is discounted in every category, year and location

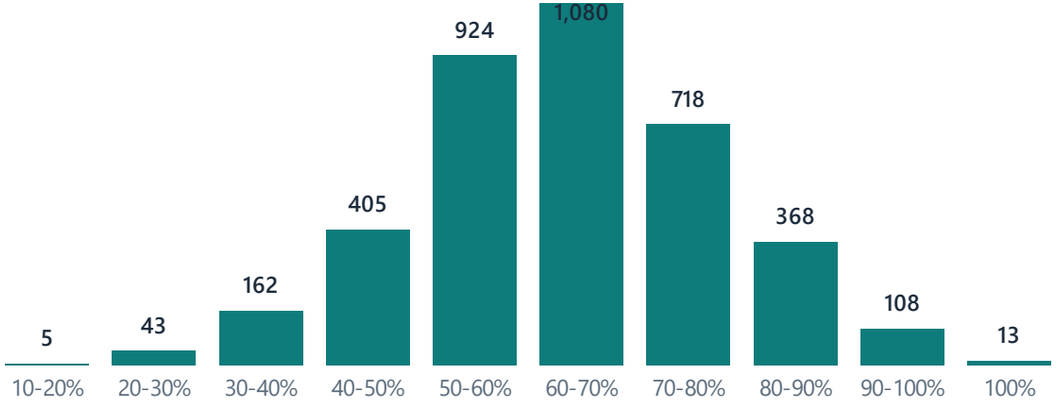
Each category gets as much of the discounts as it earns in revenue



Share of order lines discounted, by year



Customers with 10+ order lines, by share of their lines discounted



SALES LOCATIONS

64

DISCOUNT RATE, LOWEST TO HIGHEST

58.3% to 64.6%

No category, year or location stands out. Customers with 10+ lines cluster around the company average, so there is no group that is always or never discounted. Nothing tested explains which sales get a discount.

Locations are 63 stores plus the online channel.